

Measure rule. Use the measure rule to help predict how far price will decline. Refer to [Figure 46.5](#) during the discussion of its computation. In the figure, four letters outline the measured move: A through D. First, tabulate the height of the first leg (shown by points A and B) by subtracting the lowest low (42) from the highest high (52.88). This gives a height of 10.88. Subtract the height from the highest high in the corrective phase (point C at 47.75). The result is a target price of 36.87. Price meets the target on 7 December.

That computation uses the full height of the first leg. The bottom portion of the table shows how often the measure rule works using various heights. If you were to use half the height of the first leg in the computation, it would work almost all of the time, as the table shows (93% to 97%).

Corrective phase. After a measured move down completes, the corrective phase often acts like a magnet, attracting price. It's a dependable location to sell an existing holding. See [Table 46.5](#) to learn that there's a 77% (bull market) to 82% (bear market) chance of the stock moving into the corrective phase. To put it another way, only 23% (bull market) and 18% (bear market) see price remaining below the bottom of the corrective phase.

Experience

Let me tell you about what I found in my trade review.